

invested \$266,000 and each received a 19 percent interest. Here's the ownership breakdown for the Moreno Valley Best Western:

Owner	(%)
Manilal & Siblings	25
Mr. Ashok Patel	18
Mr. Mahendra Patel	19
Mr. Ravi Patel	19
Mr. Kanu Parekh	19
Total	100

Manilal told me that he was deeply skeptical about handing his money to anyone in any type of business endeavor. However, this was a deal where he was going to manage the motel and, in effect, his investors had handed him the money. I told him Pabrai Funds worked the same way—I don't need to do too much due diligence on my investors because I'm getting their money and not vice-versa.

Manilal quit his Cherokee job and began running the motel full time. He received a salary and the profits were split among the partners in the proportion of their ownership.

Let's fast forward four years. The motel's market value is now over \$9 million—a 100 percent increase. But wait. Over the past four years, some of the \$3.1 million note has been paid down. Let's assume about \$200,000 was paid down every year, so now the note due is \$2.3 million. Their \$1.4 million is now worth \$6.7 million. That's an annualized return of a stunning 48 percent a year.

Hold on—there's more. We haven't calculated the dividends this investment has yielded over the past four years. When Manilal took over